Mayor's Office of Legislative Affairs

Bill number: 251021

Introduced by: Gauthier

Cosponsor(s): Phillips, Landau, Lozada, Brooks, Harrity, O'Rourke, Driscoll, Squilla

Assigned committee: Transportation and Public Utilities

Date introduced: 11/20/2025

Fiscal Note

Overview

This bill would address income eligibility standards for receiving discounted residential water utility rates. The anticipated cost to the City is estimated to be at least $22.1 million to $127.6 million over five years.

Legislative Summary

This bill would change the eligibility threshold for residential water customers to receive income-based discounted rates on their water bills.

Income-Based Water Rate Assistance Program (IWRAP) (aka Tiered Assistance Program or TAP)

Currently, low-income Philadelphia households are charged different percentage rates based on an income-specific fee schedule and where they fall on the Federal Poverty Level (FPL) tier. Eligible customers pay a percentage of their bill based on their income. The water and sewer bill does not increase based on usage; customers pay a fixed amount. The discounted rates are available to households that:

- Earn up to 50 percent of the FPL.
- Earn from 51 to 100 percent of the FPL.
- Earn from 101 to 150 percent of the FPL.

This bill would expand eligibility to households earning between 151 and 200 percent of the FPL for the discounted rate.

Earned Forgiveness

Currently, households that earn 0 to 150 percent of the FPL are eligible for discounted rates and can earn forgiveness of qualifying arrearages. The Department has discretion to offer more favorable terms than the standard rates upon an individualized finding of a special

hardship. This bill would expand the income threshold to permit households earning up to 200 percent of the FPL to qualify for the discounted rates and arrearage forgiveness.

Affordable Payment Plans

Currently, households that earn 151 to 250 percent of the FPL are eligible for affordable payment plans. This bill would expand the income threshold to permit households earning from 251 to 300 percent of the FPL to qualify for the affordable payment plans.

Proposed Effective Date

This legislation would be effective immediately after enactment.

Fiscal Impact Analysis

The Water Revenue Bureau (WRB) provides all billing and collection functions for water and sewer charges. The WRB ensures that the Philadelphia Water Department (PWD) has the financial resources needed to provide water to Philadelphia residents. PWD does not receive support from the City's General Fund.[1] The Water Fund supports the operations of the Philadelphia Water Department. The Water Fund is an enterprise fund of the City and is comprised of revenues generated through charges to PWD customers. The rates that customers pay for their water and sewer charges are set by the Philadelphia Water, Sewer, and Storm Water Rate Board (Rate Board). The PWD must follow a process and provide evidence to the Rate Board to seek approval for any increase in customer rates. This legislation would make changes to TAP thereby affecting the Water Fund.

Customers who qualify for the TAP program receive a discounted water and sewage rate based on their income and where they fall on the FPL or if they have a special hardship. When a customer enrolls in TAP and has an unpaid balance (arrears), the program freezes the unpaid balance accumulated by the customer prior to enrolling in TAP. When pre-program arrears are frozen, the WRB no longer pursues collection on the balance, and the balance no longer accrues penalties. The outstanding arrearage balance is forgiven over time with each monthly TAP bill payment, and after 24 months of payments the total arrearage balance is forgiven.

PWD offers an additional program for non-TAP customers who earn between 151 and 250 percent FPL. This legislation would expand eligibility to 251 to 300 percent of the FPL. If a customer owes an unpaid balance, they may qualify for the extended payment agreement plan in which they are charged an additional amount on their water bill based on the amount owed divided over a length of time. This program differs from TAP's arrearage forgiveness in that there is no principal or penalty forgiveness since the debt is paid off over an extended period of time. If enacted, the expansion of income eligibility for both programs would negatively impact revenue for the Water Fund. The following table details how the enactment

[1] Beyond payment for services PWD provides to General Fund departments.

of this legislation would impact revenue. The total revenue decrease is estimated to be approximately $22.1 million to $127.6 million over five years.

Water Fund Impact Summary	FY27	FY28	FY29	FY30	FY31	Total
Revenues Increase/ (Decrease) TAP Bill Discount	($2,400,000-$23,500,000)	($2,400,000-$23,500,000)	($2,400,000-$23,500,000)	($2,400,000-$23,500,000)	($2,400,000-$23,500,000)	**($12,000,000-$117,500,000)**
Revenues Increase/(Decrease) Arrearage Forgiveness	($5,000,000)	($5,000,000)	-	-	-	**($10,000,000)**
Revenues Increase/ (Decrease) Extended Payment Agreement	($143,015)	($143,015)	$57,206	$57,206	$57,206	**($114,412)**
Net Cost	**($7,543,015 - $28,643,015)**	**($7,543,015 - $28,643,015)**	**($2,342,794 - $23,442,794)**	**($2,342,794 - $23,442,794)**	**($2,342,794 - $23,442,794)**	**($22,114,412 - $127,614,412)**

TAP Bill Discount

This legislation would expand eligibility and would therefore increase the number of households paying a fixed rate on their water and sewer bill. The average TAP customer receives a discount of $48.95 on their water and sewer bill. The Water Department estimates that this legislation would decrease revenue by about $2.4 to $23.5 million per year as reflected in the above table. The range reflects the anticipated amount of new TAP enrollees of 4,000 to 40,000. The 4,000 new enrollees reflect the Department's data of previously submitted applications who would now be income-eligible from the enactment of this legislation, whereas the 40,000 new enrollees reflect the population of eligible households using U.S. Census data.

Arrearage Forgiveness

This legislation would expand eligibility, therefore increasing the number of households eligible to receive arrearage forgiveness. Once the customer has made 24 eligible payments, the total outstanding arrearage balance is forgiven. The Water Department estimates that this legislation would decrease revenue by $5 million per year for Fiscal Years 2027 and 2028 as a result of this arrearage forgiveness expansion.

Extended Payment Plan

This legislation would expand the income eligibility for households to enroll in affordable payment plans. PWD offers an extended payment agreement for customers who have applied for TAP but fall outside of the TAP income guidelines and do not have a special hardship. The previous table demonstrates this change as a decrease in revenue of $143,015 in the first two Fiscal Years. Households that normally would've paid a debt over a standard two-year period would now be eligible to extend their payments over a longer period. Therefore, the first two years show a decrease in revenue, while the following years reflect a small increase.

The table below further details how the change in policy is revenue neutral as the debt is repaid over time. Additionally, $400,443 represents the estimated debt amount of new eligible accounts for the extended payment plan. The first row demonstrates how debt is repaid in a standard payment plan under the current policy, while the second row shows how the debt is repaid in the extended payment plan if this legislation is enacted.

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Total
Extended Payment Plan (Proposed Policy)	$57,206	$57,206	$57,206	$57,206	$57,206	$57,206	$57,206	$400,443
Standard Payment Plan (Current Policy)	$200,222	$200,222	-	-	-	-	-	$400,443
Change in Revenue	**($143,015)**	**($143,015)**	**$57,206**	**$57,206**	**$57,206**	**$57,206**	**$57,206**	**($0)**

Increase to Monthly Residential Bills

The anticipated revenue loss to the Water Fund would need to be restored because the Water Fund is comprised of revenues generated through charges to customers to support the operations of the PWD. Restoring the fund balance would likely require PWD to request a new rate increase that would impact monthly bills of customers. A rate increase was previously approved by the rate board to $4.89 on a typical residential bill. PWD estimates that balancing the revenue shortfall would require a rate increase of an additional $3.00, which would bring the total increase monthly amount to $7.89 on a typical residential bill. This rate increase would impact non-TAP customers. The Water Department uses a formula called the TAP Rate Rider equation to help calculate the surcharge added to water and sewer bills to recoup a portion of the costs associated with providing discounts to TAP customers. Essentially, non-TAP customers pay a surcharge on their water and sewer bills to subsidize

the costs associated with providing TAP. This legislation would expand eligibility of TAP, therefore increasing the number of people eligible for TAP and decreasing the pool of people subsidizing the cost of the program.

Description	Total Increase to Monthly Residential Bills ($)	Total Percent Increase (%)
Base Rate Approved by Rate Board	$4.89	5.4%
Impact of Proposed Bill	$3.00	3.4%
Total Impact	$7.89	8.8%

Expenditures

The estimated cost of implementing this legislation is summarized in the following table.

Expenditure Impact Summary	FY27	FY28	FY29	FY30	FY31	Total
Expenditures Increase/(Decrease)						
Class 200: Purchase of Services	$8,000	-	-	-	-	**$8,000**
Total	**$8,000**	**$-**	**$-**	**$-**	**$-**	**$8,000**

Department of Revenue

Water Revenue Bureau (WRB)

The Water Fund supports the operations of the WRB. The WRB is responsible for the billing and collection of water bills. The adoption and implementation would require programming updates to WRB's application processing systems. The estimated cost of the implementation is an approximate one-time cost of $8,000. The updates would be estimated to take 10 weeks.

Legislative History

2014

Bill 140607 - Enacted

This bill was introduced by Councilmember Quiñones Sánchez and signed by the Mayor on December 1, 2015. This bill established the Income-Based Water Rate Assistance Program (IWRAP) and defined what a Special Hardship would entail.

Prepared by: Policy and Fiscal Analyst Unit, Mayor's Office of Legislative Affairs
Date: 03/18/2026

This document is a summary of proposed legislation as introduced and is prepared by the Mayor's Office of Legislative Affairs for general information only. It does not represent the official legal position of the City. Estimates are calculated using the best information available. Actual costs and revenue impact incurred may vary from estimates.